

the age of seventy and a half. There are no such requirements for Roth IRAs.

The income limits for Roth IRAs are much more liberal and you can contribute even if you participate in an employer-provided retirement plan. To make the full contribution in 2012, your income must be \$173,000 or less if you're married and filing jointly and \$110,000 or less if you're single. You can make a partial contribution if your income is between \$110,000 and \$125,000 if you're single and between \$173,000 and \$183,000 if you're married. If your income exceeds these limits, you can't contribute at all.

Choosing the Best IRA for You

It can be difficult to determine whether you'd come out ahead in the long run with a traditional or a Roth IRA. It depends on a number of factors, such as how long before you retire, when you plan to start taking money out, and your tax bracket now and at retirement. There are benefits to Roth IRAs besides tax-free earnings. You can withdraw your contributions before retirement without owing taxes or penalties, although you may have to pay taxes on the earnings. The tax law allows you to distribute the amount you contributed before the withdrawal of earnings so that the tax-free amount will be distributed first. You can withdraw up to \$10,000 in earnings without penalty to buy your first home if the money has been in the Roth IRA for at least five tax years, to pay medical expenses exceeding 7.5 percent of your gross income, to pay college expenses for certain family members, to pay for health insurance if unemployed for at least twelve months, or if you're unable to work because of disability. Any other withdrawals before the age of fifty-nine and a half will be subject to the penalty.



If your income exceeds the limits for a traditional IRA (and you are an eligible participant in a qualified plan), you can still contribute, but it won't